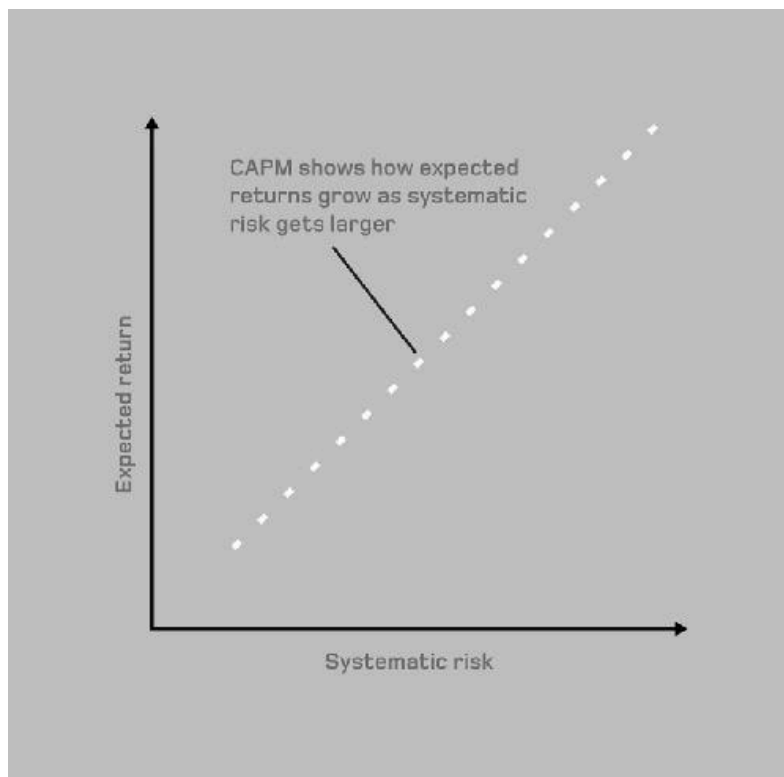


The capital asset pricing model



The capital asset pricing model (CAPM) is a method of calculating the expected return on an investment based on risk. An asset has two kinds of risk – specific and systematic. Specific risk affects a particular investment – for example, the potential fall in the share price of a pharmaceutical company whose flagship drug has been found to be harmful. This kind of risk can be offset by diversifying investments across many companies. Systematic risk is that which affects the whole market (for example, when the economy enters a recession and all stock prices fall) and cannot be offset by diversification.

Broadly speaking, the CAPM says that the expected return on an asset is related to the expected return on the stock market as a whole. Some assets move closely with the overall market: they have a high degree of systematic risk that can't be diversified

away and therefore a high expected return. Other assets have lower systematic risk and so usually offer lower returns.